

Q3 – Chart Observation

The charts for the selected stocks(4) were analyzed using TradingView. Weekly or Monthly charts from 2010–present were used to identify trends, sideways markets, support/resistance levels, and basic chart patterns. Screenshots of the charts are provided in the corresponding folders for each stock.

Folder Structure (Q3)

Folder **Q3** holds the five sub-folders as **1-HDFC** , **2-INFOSYS** , **3-MARUTI** , **4-SUNPHARMA** , **5-Patterns** . Each folder have the patterns and indicators for their stock and folder **5-Patterns** holds the basic pattern identified.

1. Trend Patterns

Uptrend Identification

An uptrend is identified when the stock forms **Higher Highs (HH) and Higher Lows (HL)**. This indicates sustained buying pressure and a bullish market structure.

Observed major uptrend periods were generally associated with important macroeconomic events such as:

- **2014 Indian General Elections** leading to strong market optimism.
- **Post-COVID recovery (2020–2021)** where global liquidity and stimulus boosted markets.
- **2022 market recovery** after global corrections.

These events contributed to strong upward momentum in many stocks.

2. Sideways Market

A sideways market occurs when the price **moves between two horizontal levels without a clear trend**.

Definition used:

- Price fluctuates between **support and resistance levels**.

- The difference between the levels is approximately **10–20% of price range**.

In the provided charts, horizontal lines were drawn to highlight the range where price repeatedly bounced between these levels.

These sideways phases usually occur during **market consolidation** before the next major move.

3. Support and Resistance

Resistance

Resistance is a price level where the stock **faces selling pressure and moves downward after reaching that level**.

Identification method:

- A horizontal line is drawn at a level where price **touches multiple times and reverses downward**.
- Cursors are placed on the chart to show repeated tests of the resistance level.

Support

Support is a price level where the stock **finds buying pressure and moves upward after reaching that level**.

Identification method:

- A horizontal line is drawn where price **touches multiple times and rebounds upward**.

In many cases, these levels were **eventually broken**, which is common in financial markets as prices continue to move either upward or downward over time (if they don't move then stock is considered as dead which makes market to dump that stock).

4. Chart Patterns

Several common chart patterns were identified from the charts:

Head and Shoulders

Two examples of the **Head and Shoulders pattern** were identified.

This pattern typically indicates a **trend reversal** after a prolonged uptrend.

Exact head-shoulder is difficult to see which can be seen in the diagrams where one is distorted.

Ascending Range / Rising Channel

One **ascending range pattern** was observed where price gradually moved upward while maintaining support and resistance boundaries.

Double Top

Two **Double Top patterns** were identified.

This pattern usually signals **potential bearish reversal** after repeated failure to break resistance.

Double Bottom

One **Double Bottom pattern** was detected, indicating a **potential bullish reversal** after a prolonged decline.

5. Breakouts

Several instances were observed where price broke above resistance or below support levels.

Such breakouts often led to strong directional movements, confirming the importance of these levels in market analysis.

Conclusion

From the analysis:

- Several **major uptrends** were identified, primarily driven by macroeconomic recovery phases.
- Periods of **sideways consolidation** occurred between trends.
- **Support and resistance levels** played an important role in determining price reversals and breakouts.
- Multiple **classical chart patterns** such as Head and Shoulders, Double Tops, Double Bottoms, and ascending ranges were observed.
- Good reviews of the company can make a company to move for 15 days but to make a definite pattern it must consistently deliver the results with a good financials and have the emotional support of the market.
- Certain actions like Dividend offered by this big companies also pushes us to buy the stock at specific time to be eligible for the same creating some pattern too.

All observations are supported by annotated charts provided in the respective folders for each stock.
